

13 Relationship between returns

5 primary questions | Oldest to newest

2026 objectives: 4.4.3

5 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2006 Q1	5 marks
CA1-P1 September 2008 Q2	8 marks
CA1-P1 April 2013 Q7	31 marks
CA1-P1 April 2014 Q2	11 marks
CP1-P1 September 2022 Q1	4 marks

CA1-P1 | September 2006 | Q1

Current topic | 5 marks total | Original PDF p2

Related: Ch 12.

- 1**
- (i) Define the term *equity risk premium*. [1]
 - (ii) Describe why a change in the equity risk premium will alter the valuation of equities using a discounted dividend model. [2]
 - (iii) Explain the phrase *systematic equity risk premium* and give two examples of events that would change the systematic equity risk premium. [2]
- [Total 5]

CA1-P1 | September 2008 | Q2

Current topic | 8 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 2**
- (i) State the formula used for explaining the total return that investors require on an asset. [2]
 - (ii) Explain how this formula can be used to analyse the difference between the quoted redemption yields available on an index-linked government bond and a fixed-interest non-government bond, which have the same outstanding term to redemption. Both bonds are issued in the same currency. [6]
- [Total 8]

CA1-P1 | April 2013 | Q7

Current topic | 31 marks total | Original PDF p4

Related: Ch 8, Ch 14.

- 7**
- (i) Explain the factors underlying the expected return on a corporate bond. [13]
 - (ii) Outline how an increase in government bond yields may affect the price of a corporate bond. [8]

An individual is planning to retire in ten years' time and has a large amount of money to invest. She is considering investing in either government bonds or corporate bonds.

- (iii) Explain how the individual could maximise expected returns from these investment choices. [6]
 - (iv) Discuss how the individual could mitigate unwanted risks arising from these investments. [4]
- [Total 31]

CA1-P1 | April 2014 | Q2

Current topic | 11 marks total | Original PDF p2

Related: Ch 11.

- 2** (i) List the principal economic influences on bond yields. [2]

A pension scheme invests in two investment portfolios:

- A Long term conventional bonds
- B A combination of domestic and foreign equities

- (ii) Set out the components of total returns for the two portfolios. [4]

The scheme has decided to increase its holding in portfolio B with the aim of achieving higher long term returns.

- (iii) Explain how the components in part (ii) could lead to portfolio A providing higher returns over the next twelve months. [5]

[Total 11]

CP1-P1 | September 2022 | Q1

Current topic | 4 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

1 An investor is considering investing in one of the following funds:

- UK Government Bond Fund – with a target return of 1% p.a.
- UK Equity Fund – with a target return of 3% p.a.

The funds are exactly the same size, are both well diversified and have the same fund manager.

Suggest possible reasons why the predicted target returns for the two funds are different.

[4]